

Autonomous AI Trading Agent — Overview

A plain-language intro for guys who want to get started

What Is This?

An autonomous AI trading agent is a setup where an AI model — in this case Claude by Anthropic — connects directly to your Robinhood brokerage account and executes trades on your behalf based on a strategy you define. It runs on a schedule, analyzes your portfolio, makes decisions, executes orders, and reports back to you. No babysitting required once it's running.

This is not a robo-advisor. You define the thesis, the rules, and the risk limits. The AI executes them. You stay in control.

What You Need

Accounts (all online signups)

Tool	Cost	Notes
Robinhood Gold	\$5/month	Brokerage account — Gold tier required for agentic trading
Claude (Anthropic)	\$20/month (Pro)	Powers the AI agent — Pro tier required

Total monthly cost: ~\$25/month

Software to Download (all free)

- **Claude Desktop** — the app where you set up and manage the agent
 - Mac: claude.ai/download
 - Windows: claude.ai/download (same link, detects your OS)
- **Terminal (Mac) / Command Prompt or PowerShell (Windows)** — already built into your computer. Used for a handful of one-time setup commands — copy/paste only, no coding required.

That's it. GitHub, VS Code, and other developer tools are optional add-ons for logging and file management — not required to get the agent trading.

Tech Knowledge Required

Be honest with yourself on these. You don't need to be a developer but you need to be comfortable with:

Basic (must have):

- File system navigation — knowing where files live on your computer, moving and renaming files
- Copy/paste, downloading software, navigating settings menus
- Comfortable having detailed conversations with AI — being specific and clear in your prompts
- Reading and following step-by-step instructions without skipping steps

Helpful but learnable as you go:

- Terminal/Command Prompt basics — you'll run a handful of commands during setup, all copy/paste
- Basic understanding of how brokerage accounts work

Not required:

- Coding or programming
 - Software development experience
 - Networking or server knowledge
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How It Works (Big Picture)

1. You define the strategy — what to buy, when, and why
 2. Claude reads your strategy file on every run
 3. Claude connects to Robinhood via MCP (a secure API bridge)
 4. Claude analyzes your portfolio, pulls live quotes, and checks rules
 5. Claude executes trades within your defined guardrails
 6. Claude sends a Pushover notification summary to your phone
 7. Repeat daily — automatically, no input needed
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Costs and Starting Capital

Monthly overhead: ~\$25 (Robinhood Gold + Claude Pro)

Starting capital: \$1,000 minimum, \$5,000–\$10,000 recommended

- \$1,000 is a workable floor for testing the system with real trades
- \$5,000+ gives enough room to build meaningful positions and read performance clearly
- The agent builds positions gradually over the first week, not all at once

No ongoing fees beyond the \$25/month. No percentage of assets, no per-trade commissions on Robinhood.

Developing Your Investment Strategy

This is the most important part — but you don't have to figure it all out yourself. You bring the thesis; Claude helps you build everything else around it.

What you need to bring:

- **A thesis** — a specific, reasoned belief about why certain sectors or companies will perform well. Not "I think tech is good." Something more like: "AI infrastructure spending by major cloud companies is a multi-year structural tailwind that benefits chip makers, memory suppliers, and power companies directly."

That's it. One clear idea you actually believe in. Claude takes it from there.

What Claude helps you build:

Once you have a thesis, Claude will work through the rest of the strategy with you in conversation — asking the right questions, offering options, and helping you think through things you might not have considered:

- **Universe** — Claude will suggest specific stocks that fit your thesis, explain why each qualifies, and help you organize them by conviction level or category
- **Position sizing and allocation targets** — how much of your portfolio goes into each tier or individual position
- **Entry and exit rules** — when to buy, when to add, when to trim. Claude translates your general intent into specific, executable rules
- **Risk limits** — drawdown thresholds, maximum position sizes, cash reserves. Claude will propose sensible defaults based on your account size and risk tolerance
- **Macro red flags** — conditions that would pause new buying without triggering a full sell-off. Claude helps you define these in advance so the agent isn't flying blind if market conditions shift
- **Earnings rules** — how the agent should treat earnings events. Blackout period, buy the dip, chase the move — Claude explains the tradeoffs and helps you decide

The strategy isn't dictated top-down. It's built through a back-and-forth conversation where you make the calls and Claude fills in the details, challenges your assumptions, and flags things you might have missed.

Tips for developing your thesis:

- Start with what you actually understand. Military/defense, logistics, energy, healthcare, real estate — whatever sector you've operated in or followed closely
- Don't overthink it upfront. Come in with a rough idea and let Claude help you sharpen it
- Ask Claude to stress-test it: "What's the bear case for this thesis? What could break it?"
- Keep it simple enough to explain in two sentences. If you can't, it's too complex to automate

- Be specific about your risk tolerance early — it shapes every rule Claude will suggest

If you want a starting point:

The full strategy used to build this system — including the thesis, universe, rules, risk limits, and red flags — is publicly documented at github.com/frogman263/trading-agent-showcase. Use it as a reference, adapt it to your own thesis, or build something entirely different.

When to Use High Effort vs Low Effort

Claude has adjustable reasoning settings — effort levels (Low, Medium, High, Max) and an optional "Extended Thinking" toggle. Knowing when to use each saves time and gets better results.

Use High or Max effort + Thinking ON for:

- Building your investment thesis and stress-testing it
- Developing strategy rules, position sizing, and risk limits
- Deciding which stocks belong in your universe and why
- Adding or removing tickers after a major market event
- Reviewing the strategy after a macro red flag triggers
- Setting up your CLAUDE.md strategy file for the first time
- Any decision involving real money you won't be able to easily reverse

These are consequential decisions. The extra reasoning time is worth it.

Use Medium effort for:

- General strategy questions and refinements
- Reviewing session logs and making minor adjustments
- Asking Claude to explain a flagged position or earnings event
- Most day-to-day conversations about the portfolio

Low effort is fine for:

- Quick account balance and position checks
- Simple lookups ("what's my buying power?", "what's MU's earnings date?")
- Routine status checks when you already know what you're looking for

For the automated daily Routine:

The agent runs on Claude Sonnet 4.6 by default — the right balance of speed and intelligence for executing a defined strategy. It makes multiple tool calls per session (pulling quotes, checking positions, placing orders) and needs to be fast. You don't need Opus or Max for daily execution. Higher-end models are for building and refining the strategy, not running it.

Rule of thumb: The higher the stakes and the more open-ended the question, the higher the effort setting. The more routine and well-defined the task, the lower the effort needed.

Safety and Risk

- The AI can only trade in a dedicated Agentic account — it has no access to your other Robinhood accounts
- You set the rules; the AI follows them
- You can disconnect the agent from Robinhood at any time instantly
- Robinhood sends real-time trade notifications to your phone for every order placed
- You define a drawdown limit — if the account drops by a set percentage, the agent pauses automatically and waits for your review

This is real money. The AI will make real trades. Set your risk limits before you fund the account, not after.

What This Is Not

- Not a guaranteed profit system
 - Not a replacement for financial advice
 - Not fully hands-off forever — thesis and rules need periodic human review as markets change
 - Not something to fund with money you can't afford to lose
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Time Commitment

Initial setup: 4–8 hours spread over 1–2 days

Ongoing: 15–30 minutes/week reviewing session outputs

Strategy review: 1–2 hours/month

The whole point is that day-to-day execution is fully autonomous. Your time goes into the strategy design upfront and periodic reviews — not monitoring trades.

For a step-by-step setup walkthrough, see the companion document.

For the full strategy and architecture used in this build: github.com/frogman263/trading-agent-showcase

Autonomous AI Trading Agent — Setup Guide

Step-by-step from zero to first autonomous trade

Before You Start

Read the Overview document first. Come back here when you have:

- [] A Robinhood Gold account funded and active
- [] A Claude Pro subscription (\$20/month at claude.ai)
- [] A rough investment thesis in mind
- [] Starting capital set aside for the Agentic account (\$1,000 minimum, \$5,000–\$10,000 recommended)

Estimated time to complete this guide: **4–8 hours over 1–2 sessions**

Phase 1 — Robinhood Setup

Step 1: Enable Agentic Trading in Robinhood

1. Open the Robinhood app on your phone
2. Navigate to **Investing** → **Agentic** (or search "Agentic" in the app)
3. Follow the on-screen prompts to create a dedicated **Agentic account**
4. This creates a separate, sandboxed account — the AI can only trade here, not in your other accounts
5. **Fund the account** — transfer your starting capital in. The AI can only use money you explicitly put here

Your Agentic account will show up separately from your other Robinhood accounts. Keep it that way. Never move your entire portfolio here.

Phase 2 — Claude Setup

Step 2: Download Claude Desktop

1. Go to **claude.ai/download** in your browser
2. Download and install the app for your operating system (Mac or Windows)
3. Sign in with your Claude Pro account

Step 3: Connect Robinhood to Claude

In the Claude Desktop app:

1. Go to **Settings** → **Connectors** (or **Customize** → **Connectors**)
2. Find **Robinhood** in the list and click **Connect**
3. Follow the OAuth flow — it will open a browser window and ask you to authorize Claude's access to your Robinhood account
4. Complete the authorization on your phone in the Robinhood app when prompted
5. Return to Claude Desktop — Robinhood should now show as **Connected**
6. Go to **claude.ai/customize/connectors** in your browser and click on **Robinhood**
7. Under **Tool permissions**, click **Always allow** at the top right to enable all tools — they are off by default and the agent cannot trade without them enabled
8. Confirm all 34 tools show as enabled

Verify the connection works:

In Claude (chat tab), type:

```
Check my Robinhood account balance
```

If it returns your account information, the connection is live.

Phase 3 — Build Your Strategy

This is the most important phase. Use **High effort + Thinking ON** throughout.

Step 4: Develop Your Thesis with Claude

Open a new chat in Claude and start the conversation. Don't overthink the opener — just tell Claude what you're thinking:

"I want to build an autonomous trading strategy around [your thesis]. Help me develop it into a complete strategy I can give to an AI agent to execute."

Claude will ask you questions and help you build out:

- Which specific stocks fit your thesis (your universe)
- How to organize them by conviction level (tiers)
- Target allocation percentages for each position
- Entry rules — when to buy and when to add
- Exit and trim rules — when to reduce a position
- Risk limits — maximum position sizes, cash reserves
- A drawdown pause threshold — what loss percentage triggers a full stop

- Earnings rules — how to handle earnings events
- Macro red flags — conditions that pause new buying

This is a conversation, not a form to fill out. Push back, ask questions, stress-test the ideas. The time you invest here determines how well the agent performs.

Tip: Ask Claude to play devil's advocate — "What's the bear case for this thesis?" and "What would make you wrong about this?" are some of the most valuable questions you can ask.

Phase 4 — Create the Strategy File

Step 5: Install Claude Code CLI

Claude Code is the command-line tool that will run your agent. You need to install it once.

On Mac — open Terminal and run:

```
curl -fsSL https://claude.ai/install.sh | bash
```

On Windows — open PowerShell and run:

```
winget install Anthropic.ClaudeCode
```

After installation completes, close and reopen your terminal, then verify it worked:

```
claude --version
```

You should see a version number. If you get "command not found," run this and try again:

Mac:

```
echo 'export PATH="$HOME/.local/bin:$PATH"' >> ~/.zshrc && source ~/.zshrc
```

Windows: Restart PowerShell.

Step 6: Connect Robinhood to Claude Code

In Terminal (Mac) or PowerShell (Windows), run:

```
claude mcp add robinhood-trading --transport http https://agent.robinhood.com/mcp/trading
```

You should see a confirmation that the MCP server was added.

Step 7: Create Your Project Folder

Mac:

```
mkdir ~/trading-agent  
cd ~/trading-agent && claude
```


Windows:

```
mkdir %USERPROFILE%\trading-agent  
cd %USERPROFILE%\trading-agent && claude
```

This opens Claude Code in your project folder.

Step 8: Create Your CLAUDE.md Strategy File

The CLAUDE.md file is the brain of your agent. Claude Code reads it automatically on every run. It contains everything from Phase 3 — your universe, rules, risk limits, and red flags — written in a format the agent can execute.

In the Claude Code terminal, type:

```
Based on the strategy we discussed, create a CLAUDE.md file  
in this folder with my complete trading strategy. Include my  
universe with tier structure, target allocations, entry/exit  
rules, earnings rules, risk controls, drawdown pause threshold,  
macro red flags, and a run procedure for the agent to follow  
each session.
```

Claude Code will generate the file. Review it carefully — this is your strategy in executable form. Make sure it reflects what you actually want.

Tip: If anything looks wrong or missing, tell Claude Code to fix it before moving on. This file drives every trade the agent will make.

Phase 5 — Test Before You Trade

Step 9: Run a Supervised Test

Before letting the agent trade autonomously, run it manually and watch what it does.

In Claude Code, type:

```
Review my Agentic Robinhood account per the strategy in  
CLAUDE.md. Tell me what trades you would make today and why,  
but do not execute anything yet.
```

Review the output carefully:

- Does it understand your universe correctly?
- Are the position sizing calculations right?
- Is it applying your rules the way you intended?
- Does anything look off?

Adjust the CLAUDE.md if needed and re-run until the reasoning looks sound.

Step 10: Execute Your First Trades

When you're satisfied with the test output, authorize the first session:

```
Execute the strategy per CLAUDE.md for my Agentic Robinhood account.
```

Claude Code will run through the checklist, pull live quotes, calculate trade sizes, and place orders. You'll see each step in real time and receive trade notifications in the Robinhood app.

Recommendation: Don't deploy 100% of your capital on Day 1. A staged build over 3–5 sessions reduces timing risk and gives you a chance to catch anything unexpected before you're fully deployed.

Phase 6 — Automate It

Step 11: Set Up the Daily Routine

Once you've confirmed the agent is executing correctly, you can automate the daily run so it fires without you opening anything.

In Claude Code, click Routines in the sidebar (or type `/routines`), then:

1. Select **Create**
2. When asked what the agent should do, paste something like:

```
Read CLAUDE.md in my trading-agent folder and execute the  
daily trading review for my Robinhood Agentic account.  
Follow all rules in CLAUDE.md exactly.
```

3. Set the schedule — **11:00 AM ET daily, weekdays only** is recommended (90 minutes after market open gives time for price discovery)
4. Confirm Robinhood is listed under MCP Connections
5. Save the Routine

The agent will now run automatically every market day. You'll receive a Pushover notification on your phone after each session summarizing what happened — including validator status, trades executed, account value, and any flagged items.

Note: The Routine runs in Anthropic's cloud — your computer does not need to be on.

Phase 7 — Ongoing Management

What to Do Daily

- Check your Pushover notification after 11 AM ET

- Review any flagged items the agent raised for your attention
- No action needed if everything ran normally

What to Do Weekly

- Read the Monday thesis review in your session output
- Confirm the agent's reasoning still aligns with your intent
- Make any strategy adjustments in CLAUDE.md and update the Routine if needed

What to Do Monthly

- Review overall performance against your thesis
- Evaluate whether any positions should be added or removed from your universe
- Adjust risk limits if your account size has changed significantly

When to Intervene Manually

- The agent flags something for your review
- A macro red flag triggers and the agent pauses
- You want to make a position change outside the normal rebalancing cycle
- The agent hits the drawdown pause threshold

Key Reminders

- The AI only has access to your dedicated Agentic account — your other accounts are read-only
- You are responsible for all trades the agent places — Robinhood does not supervise the AI
- You can disconnect the agent from Robinhood instantly at any time from the app
- Real-time trade notifications from Robinhood are your first line of visibility
- The strategy is only as good as the thesis and rules you put into it

For the investment thesis and strategy framework: github.com/frogman263/trading-agent-showcase

For account setup questions: robinhood.com/us/en/support/agentic-trading